

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Current Supply

121.6M

ETH

ETH Price

\$2,243

USD

Base Gas Fee

0.1 Gwei

historic low

A data-driven analysis of ETH's deflationary mechanics, burn/issuance dynamics, staking economics, and long-term supply projections underpinning the ultra sound money thesis.

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Total Supply

121,603,980

ETH

Net 7-Day Change

+19,445.89

ETH

Annualized Growth

+0.83%

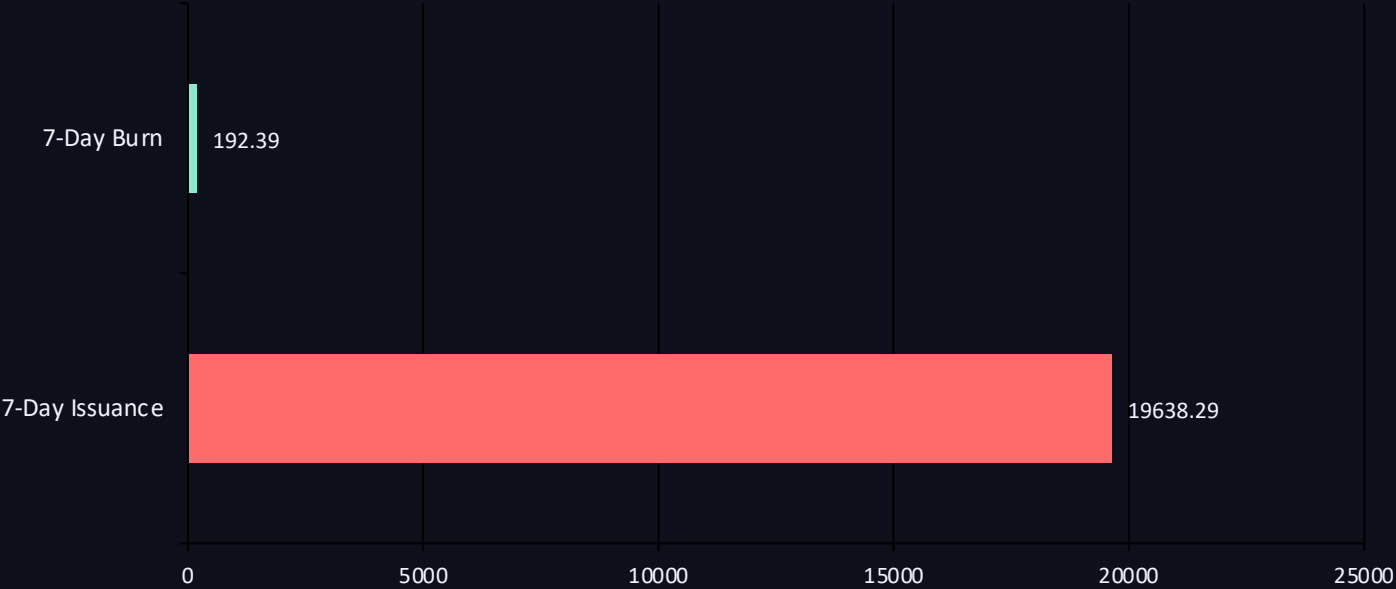
/year

Issuance-Burn Ratio

0.01x

burns offset issuance

Issuance vs. Burn (ETH, 7-Day)



Burn vs. Issuance Key Numbers

Issued to validators19,638 ETH

Burned via EIP-1559192 ETH

Net supply addition+19,446 ETH

Offset ratio0.01x

Avg gas price0.1 Gwei

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

7-Day Gas Price Range (Gwei)

Minimum	0.0 Gwei
Average	0.1 Gwei
Maximum	1.3 Gwei

EIP-4844 Blob Gas (7-Day)

Avg blob gas: 7,144,934 wei · Total blob fee burn: 0.15 ETH (\$319)

⚠️ Gap to Deflationary Threshold

Current: 0.1 Gwei avg

Equilibrium Target: 22 Gwei avg

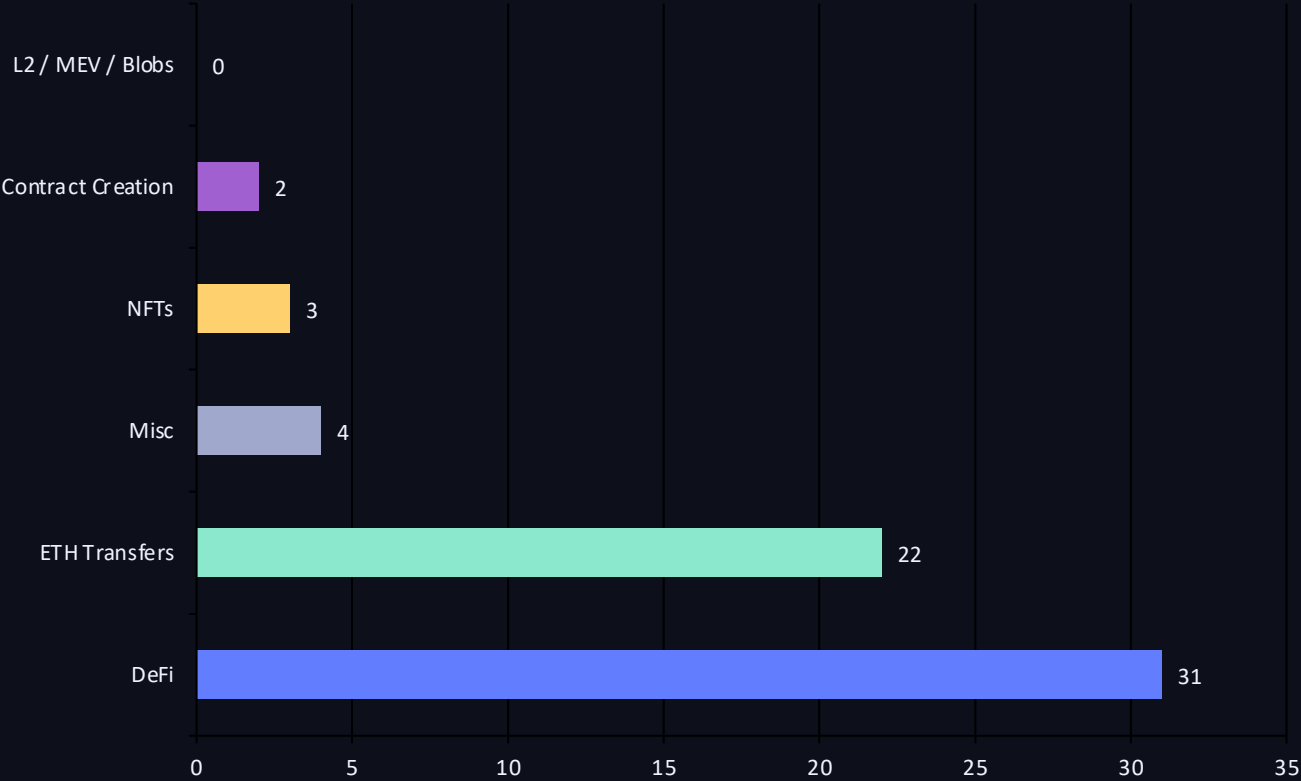
→ 220x above current gas levels required for supply equilibrium

Implication

Low gas = low burn = net issuance inflation.
Ultra sound money thesis requires on-chain activity recovery.
PoS issuance: ~2,800 ETH/day | Current burn: ~27 ETH/day

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

ETH Burned by Category — 7-Day (ETH)



Top Burn Sources (7-Day)

1	ETH Transfers	21.74 ETH
2	Tether USDT	13.55 ETH
3	DeFi Contracts	~31 ETH total
4	NFTs	3 ETH
5	Contract Creation	2 ETH

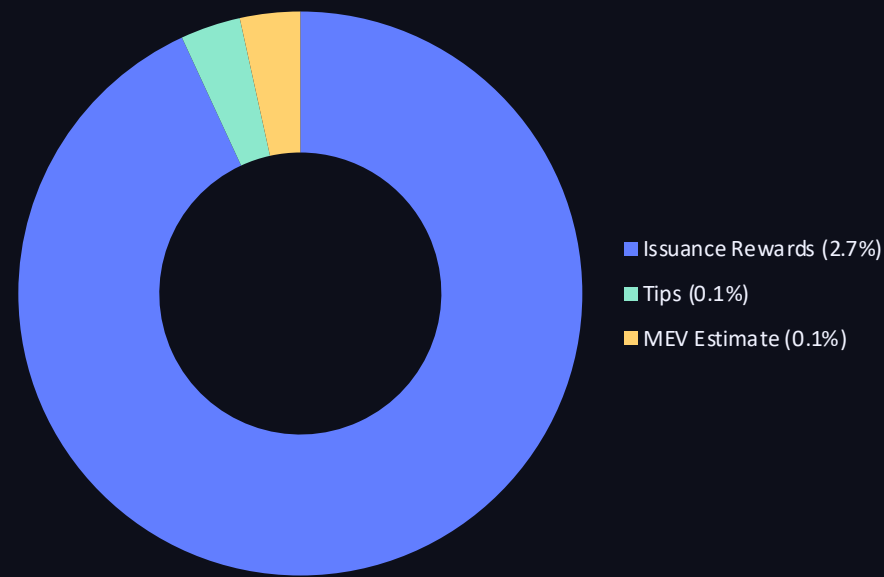
Total 7-day burn: 192 ETH

Single block record: 0.07 ETH

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

ETH Staked	Staking Contract Lock	Validator Total APR	Staker Burn Rate (non-staker ETH)
38.9M	9.1M ETH	~2.9%	1.2%
ETH (~32% of supply)	avg 10.7-year hold	issuance + tips + MEV	/year effective

Validator Reward Composition (~2.9% APR)

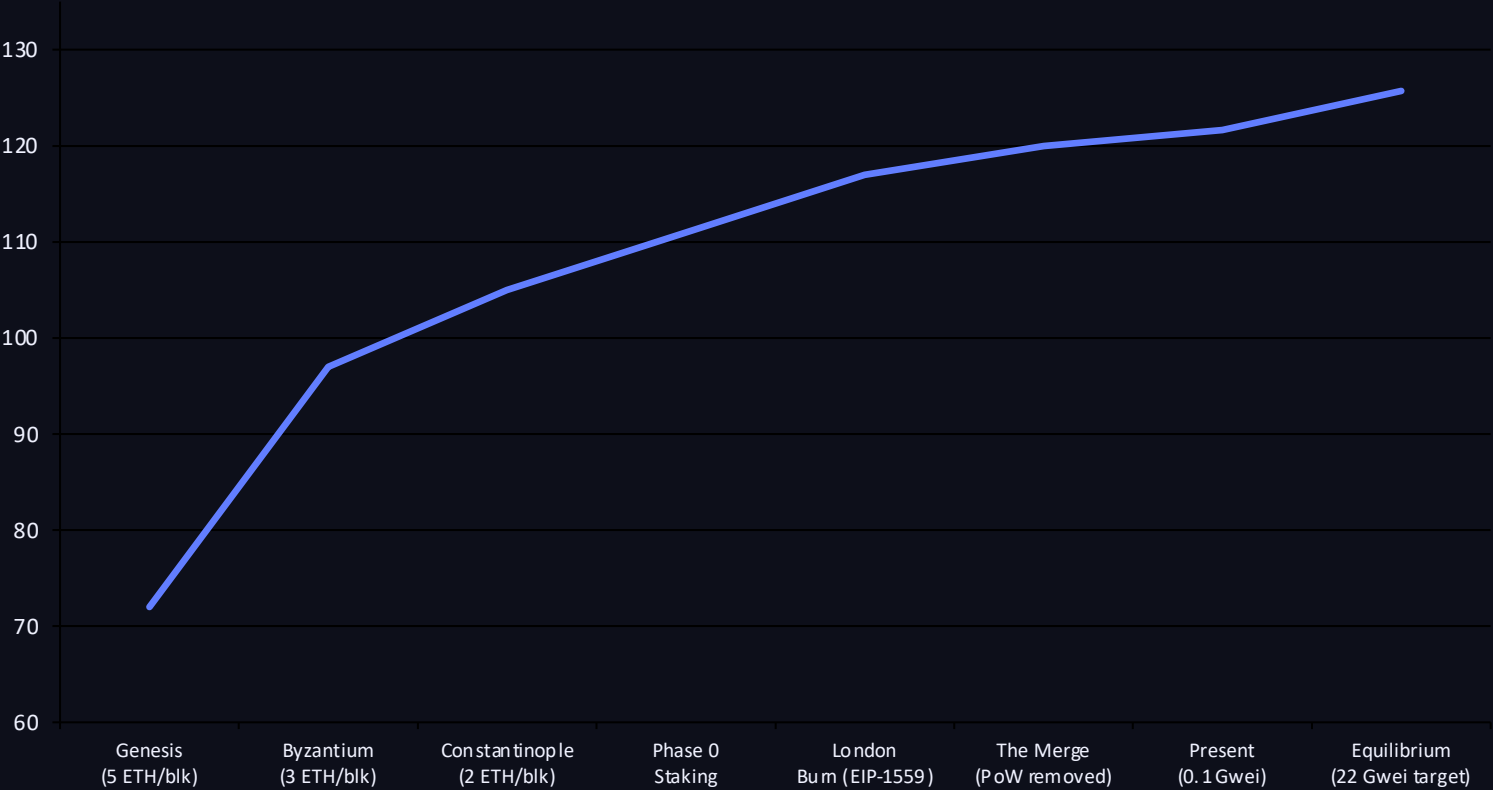


Staking Mechanics Deep Dive

Protocol issuance rate	2,800 ETH/day
Current fee burn rate	~27 ETH/day (low-gas)
Issuance per validator	0.9 ETH/validator
Validator tip income	~0.0 ETH (minimal)
% of supply staked	~32%
Non-staker dilution rate	+0.83%/year now

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance–Burn Balance

ETH Supply Trajectory Across Eras (Million ETH)

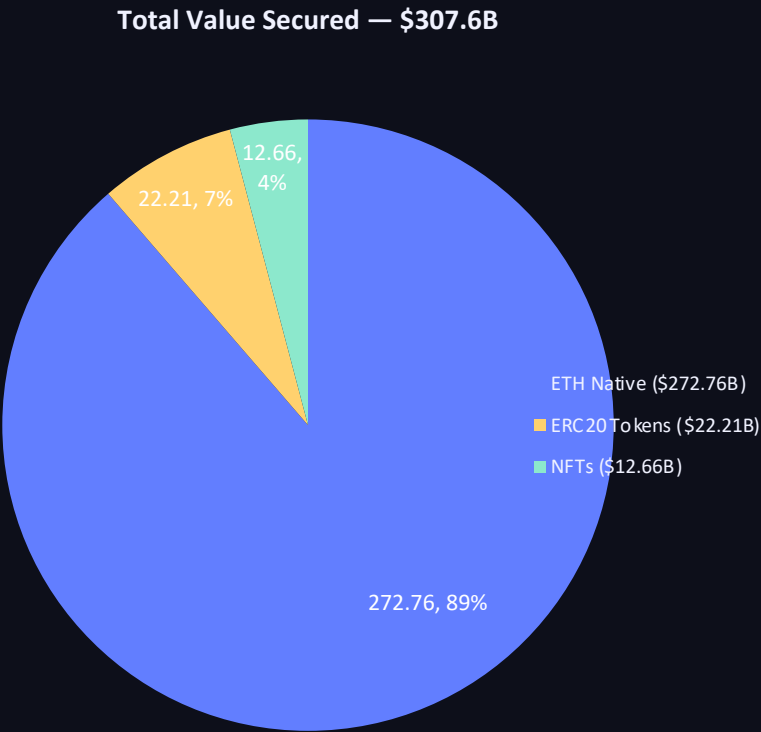


* Supply converges to ~125.7M ETH when avg base gas = 22 Gwei sustained

Projection Parameters

ETH Staked (assumption)	39M ETH
Avg base gas (target)	22 Gwei
Equilibrium supply	125.7M ETH
Issuance at equilibrium	1,037K ETH/yr
PoS daily issuance (now)	~2,800 ETH/day
Burn rate (22 Gwei)	~2,200 ETH/day
Staker yield	2.7%/year
Non-staker burn rate	1.2%/year

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value



Flipping Progress

vs Bitcoin

18.70%

vs USD (M2)

1.30%

vs Gold

0.89%

Top ERC20s & NFTs

Dai	\$4.41B
SHIB	\$3.51B
Cronos	\$2.97B
Tether Gold	\$2.65B
CryptoPunks	\$2.13B
BAYC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

01

Currently Mildly Inflationary — and That's Temporary

ETH adds +0.83%/year at 0.1 Gwei average gas. Only 192 ETH burned vs 19,638 ETH issued in 7 days. Low activity is cyclical, not structural.

02

Burn Mechanism Works — Activity is the Variable

EIP-1559 mechanically burns every base fee. DeFi + ETH transfers = 85%+ of current burn. Recovery to 22 Gwei average would flip supply deflationary toward 125.7M ETH equilibrium.

03

38.9M ETH Staked — Largest Voluntary Supply Lock in Crypto

32% of all ETH locked with avg 10.7-year hold in staking contracts. Validators earn ~2.9% APR. Structural scarcity engine running regardless of gas environment.

04

Monetary Premium Growing — \$307B TVS, 18.7% of BTC Cap

Ethereum secures \$272.76B native ETH + \$22.21B ERC20s + \$12.66B NFTs. BTC flipping at 18.7% — early but directionally compelling.

05

Ultra Sound Money Thesis: Structurally Sound, Conditionally Deflationary

Long-term equilibrium at 125.7M ETH requires sustained on-chain activity. Investors should monitor average gas as the primary leading indicator.